

Internal Standard Operating Procedures (SOP)

a. When to Approve

- Model fraud probability is Normal (0) with ML risk score below 0.30.
- Claim amount is within policy limits and matches peer procedure baseline averages.
- All required documentation (itemized receipts, physician notes) is verified and attached.

b. When to Request Documents

- Claim risk score is elevated (0.30 to 0.65) or missing required itemized billing records.
- Claim submission delay is between 30 and 90 days without emergency justification.
- Claim amount exceeds \$10,000 but lacks explicit physician authorization notes.

c. When to Escalate

- Model fraud probability exceeds optimal threshold (>0.65) or classifies as Suspicious/Fraud (1).
- Claim exhibits known fraud patterns (upcoding, phantom billing) or high peer group deviation.
- Patient profile shows 1 or more previously rejected claims in the past 12 months.

d. When to Reject

- Claim violates explicit policy exclusions (e.g., non-accredited provider, elective cosmetic care).
- SIU investigation confirms fraudulent activity, altered documentation, or phantom billing.
- Claim submission delay exceeds 90-day filing cutoff window without prior authorization.